

- **Property tax.** This is a fee you pay to your town, city, or county. It's based on where you live and the official appraised value of your home, including the land on which it's built. To get a sense of the property taxes charged for various homes in neighborhoods you're interested in, ask a real estate broker or go to [www.domania.com](http://www.domania.com) for recent sales prices and taxes in the area. They are generally between 1% and 3% of your home's value per year. You can also call the town hall or city hall and ask for the tax assessor's office. One bit of consolation: You may be able to deduct part of your property taxes. (See Chapter 9 for details.)
- **Insurance.** Most lenders require you to get **homeowners insurance** to make sure that someone will pay the cost of repairing or replacing your home in case of a disaster, such as a fire. That's because until you pay it off, your home is the lender's collateral. If it's completely ruined and you walk away from it (and your loan obligation), the lender needs to be reimbursed. Depending on where you live, you might be required to buy flood insurance also. (For tips on buying insurance, including renters coverage, see Chapter 8). If you make a down payment of less than 20% there's another type of insurance you'll be required to buy. It's called **private mortgage insurance (PMI)**. PMI protects the lender if you default on your mortgage. Once you've paid off 20% of the loan's principal, many lenders allow you to discontinue PMI coverage; they are legally required to do so once you've paid off 22% of your principal, as long as you've made all of your payments on time in the prior two years. (At the height of the housing boom, lenders became less stringent about requiring PMI, and homeowners were able to avoid it. Today, though, so many lenders have been burned by borrowers who defaulted on their home loans that most won't give you a loan unless you have mortgage insurance.) You can pay PMI in monthly or annual installments. PMI amounts to roughly 0.5% to 0.75% of your total annual mortgage cost; ask your lender what your payment options